Washington and Beijing, this time was marked by crises involving Pakistan. The first was the Kargil War of 1999. Vajpayee had made efforts to normalize relations with Pakistan after the tests, including a bus journey to Pakistan in 1999 and the Lahore Declaration. This historic agreement enabled a series of confidence building measures between the two countries for the new nuclear context and set a new baseline for relations after the Shimla Conference of 1972. But even as Vajpayee and Pakistani Prime Minister Nawaz Sharif were working to improve ties, Pakistan's Chief of Army Staff General Pervez Musharraf implemented a plan to infiltrate soldiers across the Line of Control (LoC) in the Kargil sector. This position gave Pakistani forces access to the heights over a major highway connecting the Kashmir Valley with Ladakh. [30]

India detected the Kargil intrusion in May 1999 and launched army and air force operations to evict the occupying forces. New Delhi opted to keep the conflict limited, particularly given the presence of nuclear weapons on both sides, and Indian pilots were instructed to attack Pakistani targets while remaining in Indian air space. Although Pakistan initially denied that its troops were involved, insisting that the infiltrators were irregulars, India publicly released a wiretapped conversation proving Musharraf and the Pakistan Army's complicity in the incursion. [31] In early July, Nawaz Sharif hurried to Washington where, to his surprise, he was harshly criticized by US President Bill Clinton. Pakistan realized that it did not have the support of the United States and international community, and by mid-July, India successfully managed to clear the infiltrators and return the LoC to the status quo ante. [32] For India, the Kargil War marked the first time that the United States had supported its position in a conflict with Pakistan, but it also exposed deep flaws in India's intelligence collection, analysis, and dissemination.

Another incident at the end of that year added further to India's woes. In December 1999, five Pakistan-based hijackers boarded an Indian Airlines flight in Kathmandu, IC-814, and diverted it first to Amritsar, then Lahore, then Dubai and finally Kandahar in Afghanistan, which was then under the control of the Taliban. One passenger was killed. Jaswant Singh and other